17				
18	**X**	**P(X)**	**XP(X=x)**	**x^2 p(X=x)**
19			=A20*B20	=A20^2*B20
20	-2	0.2	-0.4	0.8
21	-1	0.1	-0.1	0.1
22	1	0.4	0.4	0.4
23	1	0.2	0.2	0.2
24	2	0.1	0.2	0.4
25	Total	1	0.3	1.9
26		=SUM(B20:B2	=SUM(C20:C24)	=SUM(D20:D24)
27				
28		**Value**	**Formula**	
29	**E(X)**	0.3	=SUMPRODUCT(A20:A24,B20:B24)	
30	**E(4X+5)**	6.2	=4*B29+5	
31	**E(X^2)**	1.9	=SUMPRODUCT((A20:A24)^2,B20:B24)	
32	**V(X)**	1.81	=B31-(B29)^2	
33	**V(4X+5)**	28.96	=4^2*B32	
34	**σX**	1.345362405	=SQRT(B32)	
35	**σ(4X+5)**	5.381449619	=SQRT(B33)	
36				

17							
18	**project**	**profit(rs '000)**	**probability**	**loss(rs '000)**	**probability**	**profit**	**FORMULA**
19	1	35	0.5	15	0.5	10	=PRODUCT(B19:C19)-PRODUCT(D19:E19)
20	2	48	0.3	25	0.7	-3.1	=PRODUCT(B20:C20)-PRODUCT(D20:E20)
21	3	45	0.6	20	0.4	19	=PRODUCT(B21:C21)-PRODUCT(D21:E21)
22							
23							
24	"The maximum expected profit is 19 (rs. `000), which is obtained from project 3. hence we select project 3."						